

1.

CASE #	CASE NAME	HEARING NAME
CVPS2400400	BUXBAUM VS MCFARLAND	MOTION FOR OFFSETS OF GOOD FAITH SETTLEMENT

Tentative Ruling: In this action, Plaintiffs sought disgorgement of money paid to McFarland Defendants for performing contractor work which required a valid contractor's license in violation of the applicable provisions of the Contractor's State Licensing Law ("CSLL", Bus. & Prof. Code, § 7010 et seq.). The strict forfeiture under the disgorgement provision of section 7031, subdivision (b), allows the hirer to bring a disgorgement claim "to recover all compensation paid to the unlicensed contractor for performance of any act or contract." (Bus. & Prof. Code, § 7031(b), *italics added.*)

McFarland Defendants contend that an offset of \$527,500, which Plaintiffs received from other defendants in this action as court-approved good faith settlement, should be applied to the amount McFarland Defendants liable in disgorgement award. Their basis for this contention is Code of Civil Procedure section 877, which provides in relevant parts:

Where a release, dismissal with or without prejudice, or a covenant not to sue or not to enforce judgment is given in good faith before verdict or judgment to one or more of a number of tortfeasors claimed to be liable for the same tort ... it shall have the following effect: [¶]

(a) It shall discharge any other such party from liability unless its terms so provide, but it shall reduce the claims against the others in the amount stipulated by the release, the dismissal or the covenant, or in the amount of the consideration paid for it, whichever is the greater. [¶]

This argument fails primarily for the reason Code of Civil Procedure section 877 expressly applies to tort claims and has no application to offset a good faith settlement of joint tortfeasors in an action for statutory disgorgement claim. As McFarland Defendants concede, no case authority supports such a proposition in applying section 877's setoff to a disgorgement claim granted under Business and Professions Code section 7031, subdivision (b). In reply, McFarland Defendants contend that the underlying governing principle of section 877 is broader than the statute's label which is to prevent a double recovery and to apply equitable credits already received on the judgment. This argument also fails.

First, adopting the interpretation advocated by McFarland Defendants would require the Court to inject meaning into section 877 that is contrary to its express language. "The touchstone of statutory interpretation is the probable intent of the Legislature," and the "first step in determining that intent is to scrutinize the actual words of the statute, giving them a plain and commonsense meaning." [Citation.] (*Quarterman v. Kefauver* (1997) 66 Cal.App.4th 1366, 1371.) The Supreme Court has indicated that the purpose of the CSLL's forfeiture provisions is to "impose[s] strict and harsh penalties for contractor's failure to maintain proper licensure." (*MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co., Inc.* (2005) 36 Cal.4th 412, 418.) Because statute provides for strict forfeiture of all compensation for work performed by unlicensed

contractor “regardless of the equities,” “unlicensed contractors are prohibited from asserting equitable defenses, such as estoppel, to forfeiture.” [Citation.] (*Judicial Council of California v. Jacobs Facilities, Inc.* (2015) 239 Cal.App.4th 882, 896-897.)

Second, case law is well-established in that the forfeiture provision of CSLL authorizing disgorgement requires the unlicensed contractor to forfeit “all compensation received without reductions or offsets for the value of material or services provided.” (*Ahdout v. Hekmatjah* (2013) 213 Cal.App.4th 21, 30; Bus. & Prof. Code, § 7031(b).) “‘[A]ll compensation paid’ does not mean all compensation less reductions for offsets.” (*White v. Cridlebaugh* (2009) 178 Cal.App.4th 506, 520-521.) This means an unlicensed contractor has no setoff rights against an owner or claims for indemnity or contribution against third parties. (*Id.* at 522.)

Moreover, section 7045 of the Business and Professions Code does not operate to offset against the amount awarded as disgorgement under section 7031, subdivision (b). Section 7045 provides that the CSLL “does not apply to the sale or installation of any finished products, materials, or articles of merchandise that do not become a fixed part of the structure....” (Bus. & Prof. Code, § 7045.) Here, the Court has entered judgment for disgorgement in favor of Plaintiffs to be repaid the total \$903,161,19 Plaintiff Buxbaum paid to McFarland Defendants. The judgment was for the amount adjudicated as disgorgement award under section 7031, subdivision (b) of the CSLL. McFarland Defendants cannot now argue that any portion of the disgorgement amount must be relitigated to be determined exempt from the CSLL pursuant to section 7045.

Defendants David McFarland and David McFarland Group, LLC’s Motion to Reduce the Disgorgement Judgment is DENIED.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2400400	BUXBAUM VS MCFARLAND	MOTION AND MOTION FOR ORDER REQUIRING DEFENDANTS TO PAY EXPENSES OF PROOF

Tentative Ruling: As a preliminary matter, it should be noted, while the continued motion was pending hearing, on August 12, 2026, McFarland Defendants filed a notice of appeal of the judgment entered by the Court on August 07, 2026, for total judgment award of \$1,224,783.94. Generally, Code of Civil Procedure section 916, subdivision (a), imposes an automatic stay on matters embraced in or affected by the appealed judgment. (See *Blizzard Energy, Inc. v. Schafers* (2021) 71 Cal.App.5th 832, 842, fn. 4; *Varian Med. Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 196-198.) However, the pending appeal does not affect the Court’s ability to hear this motion, as “an appeal does not stay proceedings on ‘ “ ‘ancillary or collateral matters which do not affect the judgment [or order] on appeal” even though the proceedings may render the appeal moot.’ [Citation.]” (*Association for Los Angeles Deputy Sheriffs v. Macias* (2021) 63 Cal.App.5th 1007, 1028 [appeal of judgment does not deprive trial court of jurisdiction to consider a party’s motion for costs to prove the truth of matters which the opposing party failed to admit].)

As the Court has previously noted on July 15, 2026, Plaintiff has successfully shown that he is entitled to cost of proof as McFarland Defendant provided no evidence